LEGISLATURE OF THE STATE OF IDAHO

Sixty-eighth Legislature Second Regular Session - 2026

IN THE HOUSE OF REPRESENTATIVES

HOUSE BILL NO. 962

BY WAYS AND MEANS COMMITTEE

AN ACT

RELATING TO EDUCATION; AMENDING CHAPTER 12, TITLE 72, IDAHO CODE, BY THE ADDITION OF A NEW SECTION 72-1207, IDAHO CODE, TO ESTABLISH PROVISIONS REGARDING A RETURN ON INVESTMENT ANALYSIS OF THE IDAHO LAUNCH GRANT PROGRAM; PROVIDING A SUNSET DATE; AND DECLARING AN EMERGENCY AND PROVIDING AN EFFECTIVE DATE.

Be It Enacted by the Legislature of the State of Idaho:

SECTION 1. That Chapter 12, Title 72, Idaho Code, be, and the same is hereby amended by the addition thereto of a <u>NEW SECTION</u>, to be known and designated as Section 72-1207, Idaho Code, and to read as follows:

72-1207. IDAHO LAUNCH GRANT PROGRAM RETURN ON INVESTMENT ANALYSIS. (1) At least biennially, the legislative services office shall conduct a return on investment analysis of the Idaho launch grant program established in section 72-1205, Idaho Code, and student outcomes to:

(a) Determine the alignment of the program's in-demand careers with employer demand, postsecondary degree or certificate programs, and industry-valued credentials;

(b) Identify the program's eligible in-demand careers that are linked to high-skill and higher-wage in-demand occupations;

(c) Evaluate student participation and outcomes, such as postsecondary attainment, employment status, and wage earnings associated with eligible coursework under the program as defined in section 72-1204, Idaho Code;

(d) Provide information that can be used to improve the alignment and quality of the program and increase access and successful outcomes for all students; and

(e) Provide information about the availability, quality, and student outcomes of the program and its eligible institutions under the program as defined in section 72-1204, Idaho Code, to support students and families in making informed decisions about educational options.

(2) The return on investment analysis of the Idaho launch grant program provided for in this section shall be conducted in collaboration with the Idaho workforce development council, all eligible institutions under the program, representatives from business and industry, and any other appropriate stakeholders. These entities shall:

(a) Support the completion of a high-quality return on investment analysis of the program by timely collecting and providing data and information in the manner specified by the legislative services office and in accordance with state and federal law; and

(b) Support the implementation of recommendations resulting from the return on investment analysis of the program, which may include alignment or revision of agency or entity policies, processes, and procedures.

(3) The legislative services office, in consultation with the Idaho workforce development council, all eligible institutions under the program, representatives from business and industry, and any other appropriate stakeholders, shall develop and publish a methodology to conduct the return on investment analysis of the program and its outcomes. The methodology shall use consistent data definitions, criteria, or thresholds across education systems and program institutions, to the extent practicable.

(4) The return on investment analysis of the program shall include but is not limited to an analysis of:

(a) Statewide and regional labor market information, including current and projected economic, labor market, and wage data reflecting the needs of the state, regional, and global economy and workforce that includes:

(i) Development of a methodology to classify occupations at the statewide and regional levels based on measures of skill, demand, wage, and growth; and

(ii) Identification of statewide and regional employment opportunities in high-demand, high-growth, and higher-wage occupations;

(b) Alignment of current program in-demand careers, eligible institutions, and eligible coursework with statewide and regional employment opportunities, including:

(i) Identification of eligible institutions and eligible coursework under the program leading to high-skill, high-demand, high-growth, and higher-wage occupations;

(ii) Identification of gaps in program offerings leading to high-growth, high-demand, and higher-wage occupations;

(iii) Identification of in-demand careers, eligible institutions, and eligible coursework under the program that do not lead students to high-growth, high-demand, or higher-wage employment opportunities;

(iv) Postsecondary certificate or degree programs offered; and

(v) Industry-valued credentials used by employers in the state in hiring and promotion decisions;

(c) Experiences of participating students that can be disaggregated by student demographics, eligible institutions, and eligible coursework under the program and compared to experiences of nonparticipating students, including but not limited to:

(i) Program eligible institution enrollment, progression, and completion, including:

1. Programs offered by all public and private schools or postsecondary institutions;

2. Student enrollment in each eligible coursework offered by an eligible institution under the program;

3. Student course completion and credit attainment in each eligible institution under the program;

4. Student completion of each eligible coursework under the program; and

5. Unmet student demand for each eligible institution under the program, including waiting lists and students not enrolled due to space constraints;

(ii) Industry-valued credentials, including:

1. Student enrollment in courses or institutions aligned with each industry-valued credential;

2. Student participation, including attempts, in each industry-valued credential examination or assessment;

3. Student attainment of each industry-valued credential; and

4. Student attainment of each industry-valued credential that articulates to postsecondary credit;

(iii) Postsecondary credit attainment, including:

1. Postsecondary credits or hours earned as part of the program; and

2. Postsecondary credits or hours earned outside of the program; and

(iv) Work-based learning experiences, including:

1. The type of each work-based learning experience;

2. The characteristics of each work-based learning experience, including but not limited to the duration, whether it was paid or unpaid, or whether it was for credit or no credit;

3. Placement information including industry code (the North American industry classification system) and occupation code (the standard industrial classification);

4. Pre-apprenticeship and youth apprenticeship program enrollment and progression; and

5. Apprenticeship program enrollment and progression; and

(d) Student outcomes that can be disaggregated by student demographics, eligible institutions, and eligible coursework under the program compared to outcomes of students not participating in the program, including:

(i) Enrollment and persistence data disaggregated by type of institution, including technical colleges, two (2) year colleges, four (4) year colleges, or private providers, and by type of culminating credential, including certificates or diplomas and associate or bachelor's degrees, including:

1. Enrollment in a postsecondary program;

2. Postsecondary persistence, including credit or hour attainment; and

3. Postsecondary degree or credential attainment; and

(ii) Employment outcomes, including:

1. Employment status, including full-time or part-time employment;

2. Employment field by industry code (the North American industry classification system) and occupation code (the standard industrial classification);

3. Wage earnings; and

4. Other indicators of quality that can be disaggregated by student demographics, eligible institutions, and eligible coursework, including educator workforce, including:

(A) Current educator qualifications, expertise, and specialized knowledge;

(B) Opportunities for educators to learn new skills valued by employers;

(C) Educator positions that are unfilled or filled by instructors who do not have appropriate knowledge, skills, or experience; and

(D) Total and per-student amount of program funding allocated to each student and amount spent per student and amount reverted.

(5) Using the findings from the return on investment analysis of the Idaho launch grant program provided for in this section, the legislative services office, in consultation with the Idaho workforce development council, all eligible institutions under the program, representatives from business and industry, and any other appropriate stakeholders, shall develop recommendations to improve labor market alignment, quality, student access and outcomes, and operational efficiencies of the program. These recommendations shall include detailed information, including roles, responsibilities, action steps, and timelines to achieve state agency policy, process, and resource allocation strategies that will:

(a) Increase the alignment between the program and the state's economy, including:

(i) Offering new programs that lead to high-skill, high-demand, high-growth, and higher-wage occupations but that are not offered by eligible institutions under the program;

(ii) Phasing out program offerings that are not aligned with the needs of employers or do not provide program participants with a middle-wage or high-wage job; and

(iii) Requiring school districts and eligible institutions to align offerings to ensure seamless pathways for students from grades K-12 through postsecondary school;

(b) Identify and address gaps between student groups in access, participation, and successful outcomes through the program;

(c) Identify policies, processes, legal and resource barriers, or other barriers that prevent students from accessing or succeeding in eligible institutions and eligible coursework under the program, along with detailed recommendations for the agency or stakeholder responsible for removing these barriers; and

(d) Identify and develop a plan and timeline to collect data elements needed for a complete and high-quality return on investment analysis of the program that are not currently available or accessible.

(6) By December 31, the legislative services office shall submit to the governor, the president pro tempore of the senate, and the speaker of the house of representatives a summary report and publicly post such report on the Idaho legislature's website and the workforce development council's website. The summary report shall contain detailed supporting data, including, at a minimum:

(a) The findings of the return on investment analysis of the program broken down by student demographics, eligible institution, and in-demand career;

(b) The recommendations to improve labor market alignment, quality, student access and outcomes, and operational efficiencies across the eligible institutions and eligible coursework under the program;

(c) A list of existing eligible institutions and eligible coursework under the program that are not aligned to employer demand or do not prepare students for a middle-wage or high-wage job;

(d) A list of in-demand knowledge, skills, and competencies from employers that are currently not being met through existing eligible institutions and eligible coursework under the program; and

(e) Beginning with the second return on investment analysis of the program, an update on the implementation status, activities, and outcomes stemming from the prior report's recommendations.

(7) Following the release of the summary report, the legislative services office and collaborating agencies shall publicly present the findings and seek feedback from stakeholders across the state to inform future iterations of the return on investment analysis of the program under this section. Stakeholder engagement and feedback shall not be prevented throughout the return on investment analysis of the program process.

(8) By January 1, the legislative services office shall provide complete, matched data sets used in the return on investment analysis of the program to the Idaho workforce development council, all eligible institutions under the program, representatives from business and industry, and any other appropriate stakeholders. The data sets shall be provided in a manner and format that:

(a) Supports continuous program improvement and robust feedback of eligible institutions and eligible coursework under the program;

(b) Allows for aggregated findings for each eligible institution and eligible coursework under the program, including outcomes, to be reported publicly to students, families, and community members; and

(c) Complies with all applicable state and federal laws.

SECTION 2. The provisions of Section 1 of this act shall be null, void, and of no force and effect on and after July 1, 2029.

SECTION 3. An emergency existing therefor, which emergency is hereby declared to exist, this act shall be in full force and effect on and after July 1, 2026.